thirds of the way back to the high.] This is a stock I would short. Tomorrow, if the market is up, I will probably be a seller.

Why specifically are you so negative on this chart?

It is a broken stock. It broke on big volume. The indexes have made new highs, and the stock can't get above its 50-day moving average. All the investors had been riding the stock all the way up. Although cloud computing is a great story, it is overplayed. Current prices way outstrip any growth potential for the next few years. Analysts are talking about 2015 numbers. It's ridiculous. No one knows what is going to happen four years out. It's difficult enough to forecast the next quarter. The rhetoric buildup is always a similar pattern.

Here is another one. Amazon broke down here, and I went short on this day. [The Amazon chart is another long-term uptrend with a big downside gap that occurs not far below the high. The day Balodimas points to is on a subsequent partial rebound back toward the high.]

Why were you bearish on Amazon?

Because of the chart. The price had almost doubled in a year. The big volume on this down day showed me the turn was for real. I didn't go short that day because the market was down $20. I waited until the market rebounded above the 50-day moving average. Amazon still went up another $12, but then I doubled up near the high [the rebound high was in the vicinity of the previous high] because I still thought I was right, and I did okay.

Here is Chipotle—a wild stock.

[I look at the chart, and it is another large uptrend.] If I look at a stock, and it's in a large uptrend, I know you will be talking about the short side.

The short side, right. I got caught in this whole thing. [Balodimas points to the last segment of an accelerated uptrend.]

You stayed short the whole way?

The whole way. We doubled up here. [Balodimas points to a spot on the chart closer to the high of the upmove.] So we brought our average price way up.